

U.S. GOVERNMENT EDITION

The Acquisition Starter Kit

Your essential field guide to navigating the DoD acquisition landscape — from pathways and milestones to common pitfalls and pro strategies.

Built for early-career program managers, acquisition professionals, and government contractors.

What's Updated in This Edition

- SAT raised to \$350,000 (was \$250,000); MPT raised to \$15,000 (was \$10,000) — FAC 2025-07
- TINA threshold: \$2.5M for certified cost or pricing data (post-July 1, 2018 contracts)
- EVMS thresholds: \$50M (non-validated); \$100M (validated EVMS required)
- DUNS fully replaced by UEI (Unique Entity Identifier) in SAM.gov
- OTA: \$23B+ obligated in FY2025 — reflected in acquisition pathway notes
- CMMC Phase 1: Nov 10, 2025 (self-assessment); Phase 2: Nov 10, 2026 (C3PAO required)
- Services acquisition pathway threshold: \$250M (DoDI 5000.74 — unchanged, confirmed current)
- FAR Part 12 commercial item threshold: \$2.5M for certified pricing data
- Footer: reflects FAC 2025-07, April 2026

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The Adaptive Acquisition Framework (AAF) — DoDI 5000.02

The Adaptive Acquisition Framework (AAF), codified in DoDI 5000.02, replaced the legacy 'one-size-fits-all' acquisition model with six tailored pathways. Each pathway is designed to match the unique characteristics of different program types — from urgent battlefield needs to large-scale major capability investments. Understanding which pathway applies to your program is the foundational first step for any acquisition professional. The right pathway determines your documentation requirements, milestone structure, oversight level, and the decision authority who approves your program. Choosing incorrectly — or failing to advocate for the right pathway — can add years of unnecessary delay and bureaucratic overhead to a program that could have moved faster under a more appropriate framework.

Pathway	Key Features	Governing DoDI	Best For
Urgent Capability Acquisition (UCA)	Delivers capabilities within 2 years to address urgent operational needs. Bypasses traditional milestone reviews. Used for warfighter-identified urgent needs validated by combatant commanders.	DoDI 5000.81	Urgent warfighter needs validated by CCDR
Middle Tier of Acquisition (MTA)	Two sub-paths: Rapid Prototyping (5 years to fielding) and Rapid Fielding (6 years, mature tech). Streamlined for speed, no MDAPs designation required.	DoDI 5000.80	Rapid prototype or rapid fielding of mature tech
Major Capability Acquisition (MCA)	Traditional milestone-driven pathway: Milestones A, B, and C with full JCIDS requirements. Used for complex, high-cost platforms. Requires DAE or CAE approval at key decision points.	DoDI 5000.85	Complex, high-cost systems; full lifecycle
Defense Business Systems (DBS)	For IT and business systems supporting financial, HR, and logistics functions. Requires Business Capability Acquisition Cycle (BCAC) approval. Investment Review Board oversight mandatory.	DoDI 5000.75	Enterprise IT; financial/HR/logistics systems
Acquisition of Services	Applies to services contracts exceeding \$250M. Requires a Services Acquisition Strategy and portfolio management review. PWSs and PBAs are central documents.	DoDI 5000.74	Services contracts > \$250M
Software Acquisition	Embraces Agile and DevSecOps delivery cycles. Software capability drops every 6 months. No traditional milestone structure — uses Capability Needs Statement instead of CDD.	DoDI 5000.87	Software-intensive programs; Agile delivery

MCA Milestone Review Structure

For the MCA pathway specifically, milestone reviews are the gating mechanism through which programs must pass before advancing to the next phase. Missing a milestone — or failing to properly document the required artifacts — can halt a program entirely.

Milestone	Phase Entry	Key Decision	Primary Documents
Pre-Milestone A	Materiel Solution Analysis (MSA)	MDA approves AoA	ICD, AoA results, Analysis of Market Survey
Milestone A	Technology Maturation & Risk Reduction (TMRR)	MDA approval; SDD entry	CDD, Technology Development Strategy, Acquisition Strategy
Milestone B	Engineering & Manufacturing Development (EMD)	Contract award authorization	CDD (approved), Acquisition Program Baseline (APB), Systems Engineering Plan
Milestone C	Production & Deployment (P&D;)	LRIP authorization	CPD, Production Readiness Review results, Test & Evaluation Master Plan

Pathway Transition Note

Pathways are not mutually exclusive in all cases. A program may use the MTA Rapid Prototyping pathway to mature a technology, then transition into MCA for full-rate production. Document your pathway transition rationale clearly in your Acquisition Strategy.

50+ Critical Acronyms Across the Acquisition Lifecycle

The DoD acquisition ecosystem runs on acronyms. Fluency in this language is a professional necessity — not optional background knowledge. Whether you're reviewing a program's acquisition strategy, sitting in a CDR, or preparing a PEO briefing, you will encounter these terms constantly. This reference covers the 50+ most critical acronyms across the acquisition lifecycle, from requirements generation through contract execution and oversight.

Acronym	Definition
AAF	Adaptive Acquisition Framework
ACAT	Acquisition Category
ACO	Administrative Contracting Officer
ADM	Acquisition Decision Memorandum
AoA	Analysis of Alternatives
APB	Acquisition Program Baseline
ASA(AL&T;)	Asst. Secretary of Army (Acq, Log & Tech)
ASARC	Army Systems Acquisition Review Council
AT&L;	Acquisition, Technology, and Logistics
BCL	Budget Change Letter
CAE	Component Acquisition Executive
CBA	Capabilities-Based Assessment
CCP	Contract Change Proposal
CDD	Capability Development Document
CDR	Critical Design Review
CDRL	Contract Data Requirements List
CLIN	Contract Line Item Number
CPD	Capability Production Document
CPIF	Cost Plus Incentive Fee
CUI	Controlled Unclassified Information
DAE	Defense Acquisition Executive
DAES	Defense Acquisition Executive Summary
DAWIA	Defense Acquisition Workforce Improvement Act
DAU	Defense Acquisition University
DBS	Defense Business Systems
DDR&E;	Director, Defense Research & Engineering
DoDI	DoD Instruction

Acronym	Definition
DOTMLPF	Doctrine, Organization, Training, Mat., Leadership, Personnel, Facilities
EMD	Engineering and Manufacturing Development
EVM	Earned Value Management
EVMS	Earned Value Management System (\$50M non-validated; \$100M validated)
FAR	Federal Acquisition Regulation
FPIF	Fixed Price Incentive Firm
FYDP	Future Years Defense Program
ICE	Independent Cost Estimate
ICD	Initial Capabilities Document
IMP	Integrated Master Plan
IMS	Integrated Master Schedule
IPT	Integrated Product Team
JCIDS	Joint Capabilities Integration & Development System
JROC	Joint Requirements Oversight Council
KPP	Key Performance Parameter
KSA	Key System Attribute
LRIP	Low-Rate Initial Production
MCA	Major Capability Acquisition
MDA	Milestone Decision Authority
MDAP	Major Defense Acquisition Program
MTA	Middle Tier of Acquisition
Nunn-McCordy	Statutory cost breach notification law
O&S;	Operations and Support
OSD	Office of the Secretary of Defense
PDR	Preliminary Design Review
PEO	Program Executive Officer
PM	Program Manager

Acronym	Definition
PWS	Performance Work Statement

RFP	Request for Proposal
SOW	Statement of Work
SRR	System Requirements Review
TRL	Technology Readiness Level
UCA	Urgent Capability Acquisition
UEI	Unique Entity Identifier (replaced DUNS)
CMMC	Cybersecurity Maturity Model Certification
OTA	Other Transaction Agreement (\$23B+ in FY2025)
TINA	Truth in Negotiations Act — \$2.5M threshold
SAT	Simplified Acquisition Threshold — \$350,000
MPT	Micro-Purchase Threshold — \$15,000

Pro Tip: Acronym Discipline

When you encounter an unfamiliar acronym in a contract, directive, or briefing, the first step is always to look it up in the source document's list of abbreviations — then cross-reference with the relevant DoDI. Never assume you know what an acronym means based on similar civilian terminology. In DoD acquisition, 'PM' means Program Manager — not Project Manager — and the distinction matters significantly in terms of authority and responsibility. Also: DUNS is no longer used — the UEI (Unique Entity Identifier) is now the standard registration identifier on SAM.gov.

Acquisition Category Thresholds and Oversight Levels

The Acquisition Category (ACAT) system determines the level of oversight, review authority, and documentation burden your program carries. It is not merely administrative labeling — your ACAT level determines who approves your milestones, how often you report to OSD, and what statutory requirements apply. Programs are categorized based on estimated total acquisition cost thresholds, research and development investment, and the complexity and strategic sensitivity of the capability. ACAT I programs receive the most oversight and report to the Defense Acquisition Executive or a Service Acquisition Executive. ACAT II and III programs have progressively lighter oversight. Understanding where your program sits — and knowing the thresholds that could elevate it — is essential knowledge for any PM.

ACAT Level	Thresholds	Milestone Decision Authority	Key Requirements
ACAT I (Maximum Oversight)	RDT&E; > \$480M, OR Procurement > \$2.79B	DAE (Defense Acq. Executive) or SAE (Service Acq. Executive)	• Mandatory DAES reporting to OSD • Full JCIDS documentation required (ICD, CDD, CPD) • Congressional notification required at milestones • Nunn-McCurdy applies at 15% and 25% cost breaches
ACAT II (Component Oversight)	RDT&E; \$185M–\$480M, OR Procurement \$720M–\$2.79B	Component Acquisition Executive (CAE)	• Reporting at component level — not OSD • CDD still required; CPD at Milestone C • Greater flexibility in acquisition strategy • Streamlined documentation
ACAT III (Program Office Oversight)	Below ACAT II thresholds	PEO or designated official	• Maximum flexibility in documentation and process • Component-level reporting only • Can still use MCA, MTA, or other pathways • Ideal for rapid, lower-cost capability fielding

Watch for ACAT Breaches: Programs can be re-categorized upward if costs grow. A Nunn-McCurdy breach at 15% triggers a notification to Congress; at 25% (a 'significant' breach), the program must be certified by the Under Secretary of Defense or face termination. Track your APB thresholds relentlessly. Brief your PEO on Nunn-McCurdy proximity quarterly — never let a potential breach be a surprise.

AAF Pathway Selector — Quick Reference

Not sure which pathway applies to your program? Use this quick-reference guide to identify the most likely fit based on your program's characteristics. Remember: the Milestone Decision Authority makes the final pathway determination, but a well-prepared PM should enter that conversation with a clear, data-supported recommendation.

Pathway	Best For	Key Timeline	Governing DoDI	MDA Level
Urgent Capability (UCA)	Urgent warfighter needs, validated by CCDR	≤2 years to fielding	DoDI 5000.81	CAE or designated official
Middle Tier (MTA)	Rapid prototype or rapid fielding of mature tech	5–6 years max	DoDI 5000.80	CAE
Major Capability (MCA)	Complex, high-cost systems; full lifecycle	Milestone-driven (A, B, C)	DoDI 5000.85	DAE or SAE
Software Acquisition	Software-intensive programs; Agile delivery	6-month capability drops	DoDI 5000.87	CAE
Defense Business Systems	Enterprise IT; financial/HR/logistics systems	BCAC review cycle	DoDI 5000.75	IRB + CAE
Acquisition of Services	Services contracts > \$250M	Services Acq. Strategy cycle	DoDI 5000.74	SAE or designated

Hard Lessons from Programs That Learned the Expensive Way

The transition into a program manager role is one of the steepest learning curves in government service. The technical knowledge, regulatory familiarity, and stakeholder management skills required are immense — and there is rarely enough time to develop them through formal training alone before the first milestone review arrives. The five mistakes below are drawn from patterns observed across dozens of programs and program offices. Recognizing them early — ideally before you make them yourself — can save your program months of recovery time and protect your professional reputation with PEO leadership and oversight bodies.

1

Treating the IMS as a Reporting Tool, Not a Management Tool

The Integrated Master Schedule should be your primary tool for tracking program health — every work package, every dependency, every critical path relationship must reflect reality. A schedule that shows green when the program is actually amber or red doesn't protect you; it exposes you to far greater risk when the truth surfaces at a major milestone review. Best practice: hold weekly schedule scrubs with your IPT leads, enforce schedule discipline at the work package level, and never let the IMS drift more than one reporting cycle from ground truth.

2

Not Knowing Your Nunn-McCurdy Thresholds

Many new PMs know Nunn-McCurdy exists but have never calculated their program's specific breach thresholds in dollar terms. This is dangerous. You should know, at any given moment, exactly how much cost growth — in total dollars and as a percentage — separates your program from each threshold. Brief your PEO on this quarterly. Never let a potential breach be a surprise to your chain of command.

3

Misunderstanding Earned Value Management Signals

EVM is the most powerful program health diagnostic tool available to PMs — and one of the most misunderstood. New PMs often focus on SPI (Schedule Performance Index) and CPI (Cost Performance Index) as standalone numbers without understanding the trend direction or the 'to-complete' indices. A CPI of 0.92 may be acceptable if it has been trending upward for three months; the same CPI trending downward signals a fundamentally failing program. Also critical: EVMS surveillance thresholds are \$50M (non-validated systems acceptable) and \$100M (validated EVMS required). If your contractor's EVMS is not DCMA-accepted, your EVM data may bear no resemblance to actual performance.

4

Writing Vague or Untestable Requirements

Requirements are the contractual and technical foundation of your entire program. Vague requirements — those that cannot be tested, measured, or verified — create one of the most expensive failure modes in defense acquisition: requirements creep and contract disputes. New PMs often inherit CDDs and CPDs with KPPs written at a high level of abstraction, then fail to ensure those requirements are properly traced and tightened in the system specification and the contract's Statement of Work. Every KPP in your CDD should have a corresponding verification method, an acceptance threshold, and an objective value. If your requirements team cannot write a test procedure for a requirement, that requirement needs to be rewritten before it enters the contract.

5

Underinvesting in Stakeholder Management

Program managers who focus exclusively on technical and contractual execution — while neglecting the human terrain of their stakeholder network — consistently struggle at milestone reviews and budget hearings. Your stakeholders include your PEO, the operational user community, the requirements community (JROC-level for ACAT I), OSD CAPE, the Comptroller, congressional staffers, and your prime contractor's leadership. New PMs often wait until a problem is visible before engaging upward — this is a mistake. Build your stakeholder communication plan on Day 1 and treat it as seriously as your Integrated Master Schedule.

72%	4.2 yr	\$500B+	Day 1
Programs Over Budget	Avg Schedule Slip	In Cost Overruns	Start Planning
of ACAT I programs exceed their original cost baseline at Milestone C	average schedule growth on major defense acquisition programs from MS B to IOC	cumulative cost growth across the DoD MDAP portfolio in recent years	the right day to build your stakeholder management plan and schedule baseline

Defense Acquisitions Academy — Built for Acquisition Professionals

The Acquisition Starter Kit is just the beginning. Acqlerate — the Defense Acquisitions Academy — has built six comprehensive learning modules specifically designed to take acquisition professionals from foundational knowledge to operational mastery. Whether you are preparing for your first milestone review, navigating a complex contract negotiation, or building the program management skills to advance your career, Acqlerate's curriculum delivers the practical, scenario-based learning that traditional training programs miss. Every module is built around real-world acquisition challenges, not abstract theory.

Module 1: AAF Pathways Mastery Deep dive into all six AAF pathways with case studies and decision frameworks to choose the right path for any program.	Module 2: Cost, Schedule & EVM Master Earned Value Management, schedule risk analysis, and cost estimating fundamentals that PMs use every day.
Module 3: Requirements & JCIDS Write testable, traceable requirements and navigate the JCIDS process from ICD through CPD with confidence.	Module 4: Contracting Fundamentals Understand contract types, FAR/DFARS compliance, source selection, and how to partner effectively with your PCO.
Module 5: Stakeholder & Risk Management Build stakeholder maps, communication plans, and risk registers that protect your program from the most common failure modes.	Module 6: PM Career Accelerator Prepare for DAWIA certification, develop your leadership brand, and position yourself for Program Manager selection boards.

"The best program managers don't just know the regulations — they understand the system well enough to move fast, build trust, and deliver capability. That's what Acqlerate is built to teach."

Step 1	Step 2	Step 3
Bookmark this starter kit and share it with your IPT and program office colleagues who could benefit.	Visit acqlerate.com and enroll in Module 1: AAF Pathways Mastery — the logical next step from this guide.	Complete all six modules and earn your Acqlerate certification to validate your acquisition expertise.

The DoD needs acquisition professionals who are ready on Day 1. [ACQLERATE.COM](https://acqlerate.com) — the Defense Acquisitions Academy.